April 7, 2026 09:00 PM GMT

Tencent Holdings Ltd. | Asia Pacific

China Summit 2026 Feedback

We hosted Tencent's IR team for an investor group meeting where discussions mainly focused on AI investments/ROIC, chips/compute, model, and applications.

AI investments / ROIC

- Tencent is a global leader in leveraging AI to strengthen its core businesses with high ROI, most notably in games and marketing services (ads). AI also facilitates new monetizations such as search and Mini Shops (AI-empowered customer services).

- Invested Rmb18bn (opex) in new AI products including HY foundation model and Yuanbao chatbot in 2025, and expects this to more than double in 2026. We expect flat to slight growth in operating profit in 2026 (MSe: non-IFRS OP +5% YoY).

Chips / compute

- Expects domestic chip supply to become more sufficient starting mid-2026.
- Tencent is engaging with its investee chip company Enflame to procure customized chips, and also discussing with other local chip companies.
- Tencent is among the tier 1 clients to both chip and memory suppliers, which should be an advantage amid global supply chain constraints.
- Prioritizes compute for internal use (existing businesses and new AI products) vs. external customers (such as cloud).

Foundation model

- Tencent has data, talents and financial capabilities (balance sheet and cash flow) to pursue state-of-the-art (SOTA) foundation model even though SOTA is not a "must-have". Tencent already has a SOTA team in place after some strategic hiring last year.
- HY3.0 (expected in April) will see more meaningful upgrade compared to previous iterations. It will be a mid-sized model which paves the way for larger size models (trillion parameters) in future.

Applications

- Tencent believes its key competitive advantages are at the application layer, as evidenced by launching multiple OpenClaw type products (WorkBuddy, QClaw) among different teams within a short period of time.
- OpenClaw is a decentralized agentic application, which is consistent with Weixin's hybrid approach with a centralized gateway but decentralized ecosystem including Mini Programs.
- Expects to add agentic capabilities into Weixin but no concrete timetable yet.

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Tencent Holdings Ltd. (0700.HK, 700 HK)

China Internet and Other Services | China

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	HK$650.00
Up/downside to price target (%)	33
Shr price, close (Apr 2, 2026)	HK$489.20
52-Week Range	HK$683.00-419.00
Sh out, dil, curr (mn)	9,279
Mkt cap, curr (mn)	US$579,301
EV, curr (mn)	US$489,863
Avg daily trading value (mn)	US$1,559

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	24.32	25.40	29.11	33.01
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	27.99	30.91	34.50	38.05
Revenue, net (Rmb bn)	751.8	833.0	914.2	996.8
EBITDA (Rmb bn)	307.6	351.3	410.1	467.7
ModelWare net inc (Rmb bn)	224.8	235.7	270.1	306.3
P/E	22.1	16.9	14.8	13.0
EV/EBITDA	14.2	9.2	7.5	6.1
EV/revenue*	6.8	4.7	4.1	3.6
P/BV	4.3	2.9	2.5	2.1
ROE (%)§	21.2	19.9	19.1	18.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
* = GAAP or approximated based on GAAP
e = Morgan Stanley Research estimates

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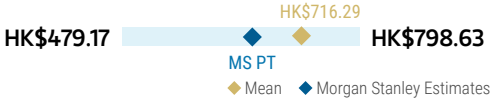
Risk Reward – Tencent Holdings Ltd. (0700.HK)

AI investments weigh on margins in near term, unlock long- term opportunities

PRICE TARGET HK$650.00

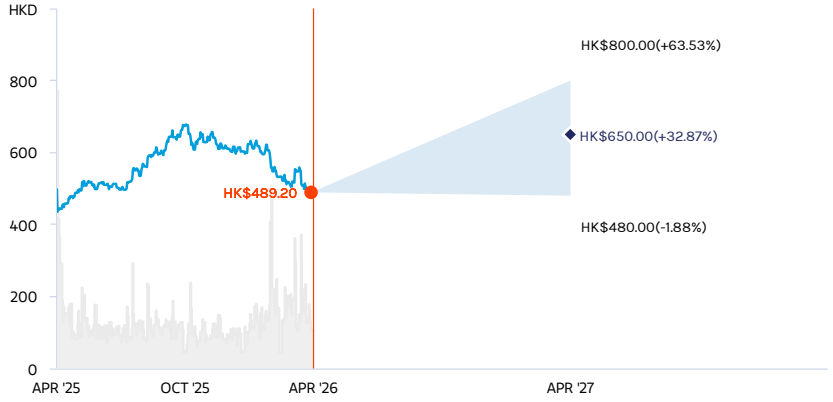
HK$650: Base case, sum of the parts.
Core business - HK$553: DCF (10% discount rate, 3% terminal growth rate)
Associate investments - HK$97/share (based on reported book value) and 30% discount applied to investment value.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



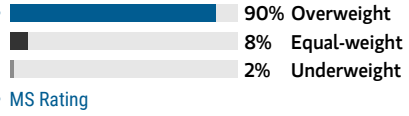
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Tencent dominates China's online consumer market in terms of revenue size and traffic volume. Most of its services rank in the top three by user base.
- Positive earnings levers include globalization of the game business, higher social ad monetization, fintech offerings, and strategic upgrades to capitalize consumer and industrial Internet.
- Stepped-up AI investments will weigh on margins in the near term but should unlock new opportunities in the long term.
- Among China's Internet leaders, Tencent has historically merited a premium valuation for strong revenue growth and earnings visibility. Our price target implies 2026e P/E of 18.1x.
- We view Tencent as China's best 2C AI applications play.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$800.00

20x bull case non-IFRS 2026e EPS

Strong monetization across all products and services as Tencent successfully monetizes its sizable user traffic

Total revenue: 10% 2025-30E CAGR.

Non-GAAP OPM: 37% in 2026E.

20x base case EPS for 2026E vs. historical trading band of 10-48x since 2015.

BASE CASE HK$650.00

18x base case non-IFRS 2026e EPS

Sustained growth in mobile games, with progress in online ads, followed by fintech and business services expansion

Total revenue: 9% 2025-30E CAGR.

Non-GAAP OPM: 35% in 2026E.

18x base case EPS for 2026E vs. historical trading band of 10x-48x since 2015.

BEAR CASE HK$480.00

14x bear case non-IFRS 2026e EPS

Competition weighing on growth outlook with user time spent being challenged by emerging rivals

Total revenue: 7% 2025-30E CAGR.

Non-GAAP OPM: 34% in 2026E.

14x bear case EPS for 2026E vs. historical trading band of 10-48x since 2015.

Risk Reward – Tencent Holdings Ltd. (0700.HK)

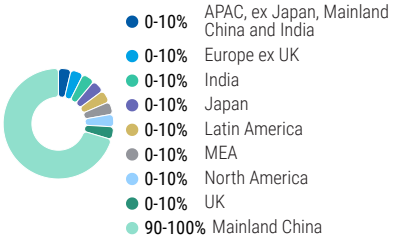
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Non-GAAP OPM (%)	37.3	35.4	36.1	36.8

INVESTMENT DRIVERS

- Video accounts ramp-up
- Game monetization in both domestic and overseas markets
- VAS subscriber base and ARPU expansion
- Advertiser base and ARPA expansion
- Long-term growth potential in Industrial Internet

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Solid execution in new game launches, both domestically and overseas
- Market share gain in social and short video ads
- Resilience in social network and online entertainment competition
- 2C AI adoption ramp-up

RISKS TO DOWNSIDE

- Gaming industry regulatory uncertainties
- Intensified competition in social networks and ad budget with emerging entertainment formats
- Tightened regulations on antitrust and amid US/China tension

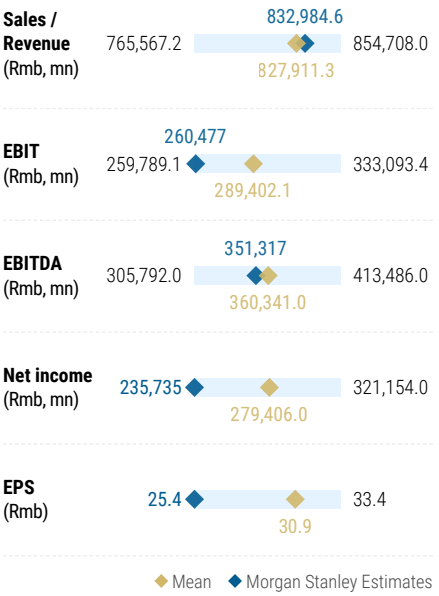
OWNERSHIP POSITIONING

Inst. Owners, % Active 67.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of March 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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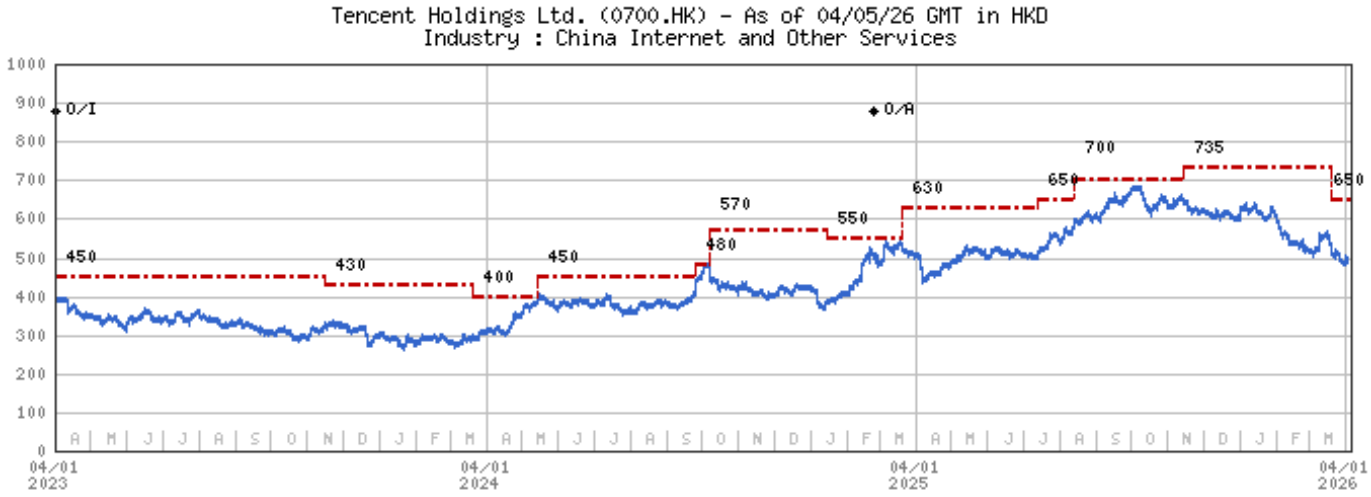
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 4/1/21 : O/A; 9/20/21 : O/I; 2/24/25 : O/A

Price Target History: 2/21/21 : 820; 4/19/21 : 800; 7/15/21 : 720; 8/19/21 : 700; 9/20/21 : 650; 1/18/22 : 600; 3/21/22 : 520; 3/24/22 : 480; 5/19/22 : 450; 8/18/22 : 400; 10/11/22 : 350; 11/17/22 : 360; 1/9/23 : 420; 2/8/23 : 450; 11/16/23 : 430; 3/21/24 : 400; 5/15/24 : 450; 9/26/24 : 480; 10/8/24 : 570; 1/15/25 : 550; 3/20/25 : 630; 7/14/25 : 650; 8/14/25 : 700; 11/14/25 : 735; 3/19/26 : 650

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/02/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US$17.36
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US$8.21
JD.com, Inc. (JD.O)	U (11/10/2025)	US$28.46
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US$13.52
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US$14.81
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US$100.87
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US$15.00
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US$122.05
Baidu Inc (BIDU.O)	E (05/17/2024)	US$110.96
Meituan (3690.HK)	O (08/29/2024)	HK$80.25
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK$489.20
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US$3.41
IQIYI Inc (IQ.O)	E (01/19/2023)	US$1.39
JOYY Inc. (JOYY.O)	E (06/02/2022)	US$58.50
Weibo Corp (WB.O)	U (05/17/2024)	US$8.68
Yang Liu		
Bilibili Inc (BILI.O)	E (01/07/2022)	US$23.05
Kuaishou Technology (1024.HK)	E (07/04/2024)	HK$44.90
NetEase, Inc (NTES.O)	O (01/08/2025)	US$112.81
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK$18.69
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US$50.48

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* Historical prices are not split adjusted.

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